

year you sell your home. For example, suppose you retire and sell your home in March 1989. Your 1989 taxable income will be quite high, with three months' salary, severance pay, and gain on the sale of your home. To avoid piling taxable interest on top of an already high base, you should defer interest income to 1990. Simply tell your bank to give you one-year CDs with principal and interest due at maturity in 1990. Since you're not entitled to the interest until 1990, you don't pay tax until 1990.

With smoothing you can sometimes avoid the 5 percent tax surcharge and save a small amount of state taxes. Deferring nets you a year of interest on the tax due. You'll want to smooth and defer if you can. But those are fairly minor matters in the scheme of things. It's more important to get a good price on your home than to try to postpone the sale until next year. It's more important to choose a bank that offers good rates than one that offers to defer income.

Another trick is to defer the gain on the sale of your home for two years. Rather than saving you money, deferring the gain is likely to cost a few bucks. But it will save you plenty of mental anguish. Saving on mental anguish, in turn, might save you a fortune in therapy fees, Dalmane prescriptions, massages, liquor, and "I'm guilty" gifts to your spouse.

The two-year deferral works like this. Suppose you retire and sell your home in 1989. In your 1989 tax return you compute your gain on Form 2119, *Sale or Exchange of Principal Residence*. But you pay no tax on the gain at that time. Instead, you state that you plan to replace your residence within the two-year replacement period. Thus, you avoid writing that big tax check in the year you retire. Instead, you have up to two years to change your mind. You may decide to buy another mansion and get back on the treadmill. I doubt you'll want to do that. But if you do, you won't have paid any tax dollars.

When you decide that you can live without a fuzzy blanket, pay the tax. Amend your tax return in the year of sale, 1989